

CONFIDENTIAL MEMORANDUM

To: Engagement File — Project Cascade
From: Priya Nair, Senior Manager
Date: June 12, 2026
Re: Financial Due Diligence — Quality of Earnings

We performed a quality-of-earnings analysis over the trailing twelve months ended April 30, 2026. Reported EBITDA of \$11.4M includes \$1.8M of non-recurring items that we have normalized out.

Key adjustments: (i) one-time legal settlement of \$0.9M; (ii) owner compensation above market of \$0.6M; (iii) deferred revenue cut-off of \$0.3M. Adjusted EBITDA is \$9.6M.

Customer concentration remains a risk: the top customer (Northgate Industries) represents 22% of revenue. Contact: e.whitcombe@northgate.example.

No material weaknesses in internal controls were identified. We recommend proceeding to confirmatory diligence.